STANDARD OPERATING PROCEDURE · BY ROLE

How to
Set up second and third counts

For: Admins and inventory control · Full Harvest Inventory

This guide is the set-up only: what to load, what to switch on, what numbers to put in the thresholds and why, and how to prove it works before count day. How a second count is done on the gun, how it is judged and how the list is worked to zero is in **Second and third counts**; this one gets you to the point where that guide takes over.

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1 — What you are setting up

Every pallet a team counts is compared with the inventory report. When the two disagree, the app can send a **different** team back to that bin to count it again, blind — a **second count**. When the second count agrees with neither the first count nor the report, it can send a **third** team — a **third count** — and that count stands.

What you decide here is **which differences are worth a walk**. Set nothing, and every one-bag difference on every pallet comes back; on a wall-to-wall that is hundreds of bins by mid-morning and the list is longer than the count. Set it too tight, and a $2,000 miss slips through because it was only 3 %. The app lets you say it three ways — **cases**, **percent of the pallet**, and **money** — and any one of them is enough to raise the second count.

2 — Before you start: the report with costs

The money thresholds need a cost on the pallet. They come from the inventory report.

Settings → Lists & racking → Inventory report. Upload the report as the system exports it, with the **Cost** column (the unit cost) and the **Amount** column (quantity × cost). Either one with the quantity is enough — the app works the other out — but the export has both, so leave both in.

BIN CODE	CONTAINER NO.	…	QUANTITY	…	SYSTEM	COST	AMOUNT
A01A001	FR10247661	…	2,400.	…	JustFood	0.16589	398.136
A01A003	FR10006042	…	34,025.	…	JustFood	0.08591	2923.08775

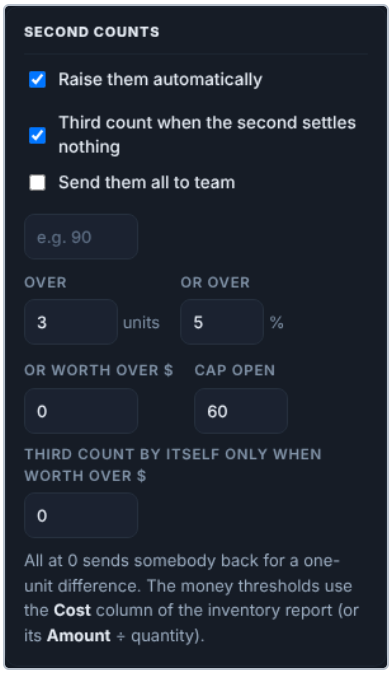
How you know it worked. The upload card says how many pallets it read; **⬇ Download the loaded report** gives the file back with the Cost and Amount columns filled. On **Dashboard → Reports → Pallet report** the **Cost** and **Report $** columns are there (they only appear when the report carries costs), and **Progress** shows the report's total value.

A pallet with **no cost** on the report is not forgotten: it is judged by the case and percent thresholds alone, and on the reports its money columns are blank.

> The counters never see a cost. Nothing about money goes to the scanners.

3 — The settings, in order

Settings → Count setup → Count session, with the count picked at the top of the page. Under **Second counts**:



The Second counts settings on the count.

1. **Raise them automatically** — tick it. Second counts are raised the moment a first count disagrees with the report by more than the thresholds, and when an aisle is marked done with a pallet in it nobody saw. (Untick it only if inventory control wants to raise every one by hand with **Raise from all variances now**.)
2. **Over N units** — the difference in cases (bags, boxes — the report's unit) that raises a second count on its own.
3. **or over N %** — the difference as a share of what the report said was on the pallet.
4. **or worth over $N** — the difference at the report's unit cost.
5. **Cap open** — stop raising automatic second counts once this many are open at once. 0 is no cap.
6. **Third count when the second settles nothing** — tick it for a wall-to-wall (section 5).
7. **Third count by itself only when worth over $N** — the money floor for an automatic third count (section 5).
8. **Send them all to team** — one team for every second count (section 6), or leave it off and any team that did not do the first count can take them.

Press **Save settings**. A change applies from then on — it does not go back over lines already in. Set it before the count starts.

4 — Choosing the thresholds

Any one threshold raises the second count. The case threshold catches a big miss on a cheap item; the percent threshold catches a small pallet that is mostly wrong; the money threshold catches an expensive item where even a few cases matter. Leave one at 0 to switch that test off.

Worked with the report above:

PALLET	REPORT	COUNTED	DIFFERENCE	OVER 50 UNITS?	OVER 5 %?	WORTH OVER $100?	SECOND COUNT RAISED?
Mango 32oz at $0.16589	2,400	2,500	+100 bags · +$16.59	yes	no (4 %)	no	**yes** — by cases
Blackberries 10oz at $0.08591	34,025	33,000	−1,025 · −$88.06	yes	no (3 %)	no	**yes** — by cases
Family pack at $0.21708	2,400	1,400	−1,000 · −$217.08	yes	yes (42 %)	yes	**yes** — by all three
Mango 32oz	2,400	2,390	−10 · −$1.66	no	no	no	no
An item at $4.20 a case	120	90	−30 · −$126.00	no	yes (25 %)	yes	**yes** — by percent and money
The same at $4.20	1,200	1,170	−30 · −$126.00	no	no (2.5 %)	yes	**yes** — by money alone

The last row is the one the money threshold exists for: thirty cases on a big pallet is nothing in percent and under the case floor, and it is still $126 of stock.

Starting points

COUNT	OVER N UNITS	OR OVER N %	OR WORTH OVER $N	CAP OPEN
Wall-to-wall, mixed stock	2–5	5–10	200–500	50–100
Wall-to-wall, high-value stock	1–2	5	100	100
Cycle counts, a few bins a day	1	0	50	0
A trial run or training	0	0	0	20

Money only. Set the units and percent to 0 and the money to, say, $150: only differences worth $150 or more come back, whatever the case count. Pallets with no cost on the report then never raise a second count by quantity — give them a case threshold too if that matters.

Reading the result. After a batch of counts lands, **Dashboard → Second counts** shows what was raised, and **Raise from all variances now** says how many it left alone as *under the threshold*. If the list is growing faster than the second-count team can walk it, raise the numbers; if the pallet report's **Difference $** column shows big misses with no second count against them, lower the money one.

5 — Third counts

Tick **Third count when the second settles nothing** for any count that will be audited. A bin whose second count agrees with **neither** the first count nor the report is counted a third time, by a team that did neither, and the third count stands on every report.

Third count by itself only when worth over $N keeps the automatic third counts to the bins that matter. With it at **$500**: a bin whose second count is $130 away from the report is left as it is — the second count stands, and inventory control can still press **3rd count** on the dashboard to send somebody. A bin $600 away goes back by itself. A bin with no costs on it always goes back, because nobody can say what it is worth. At **0**, every unsettled bin goes back.

The money is the gap between the **second count and the report**, pallet by pallet, at the report's cost: 2,400 on the report, 1,800 on the second count, at $0.21708 — $130.25.

6 — One team for the second counts

Many sites give the second counts to one crew — inventory control's own, say — rather than whichever team is nearest. **Send them all to team** with the team number does that: every new second count is theirs. A bin that team counted first stays open for any other team, because the team that did the first count never does the second.

Set the team up first on **Teams & crew → Teams** with the equipment to reach every level (a second count can be anywhere), and give it its card. The *Second and third counts* guide, section 7a, covers handing them on to other teams during the day.

7 — Approvals, with the same thresholds

Under **Adjustments** on the same card, **Adjustments need approval** makes every difference from the report wait for a signature and a reason before it reaches the ERP file. Its thresholds work the same way as the second-count ones — **Approve over N units**, **or over N %**, **or worth over $N**, any one is enough — and say which differences are big enough to need a signature. Below all three, the adjustment goes through on its own.

A sensible pair: second counts at **$200**, approvals at **$100** — everything that was walked twice is signed for, and the small stuff between $100 and $200 is signed for without a walk.

8 — Prove it in the Testing Suite

Do this the week before, not on the morning.

1. **Testing Suite** in the side panel: open the practice count. Its settings are its own, so set the same thresholds there (the practice count has costs on its pallets).
2. On the practice gun, count a pallet **10 under**, one **100 under**, and one **wrong by half**.
3. **Dashboard → Second counts** on the practice count: the 100-under and the half-wrong bins are on the list; the 10-under is not. **Raise from all variances now** says *1 under the threshold*.
4. Sign the practice gun on as a **different** team and do one of the second counts with a number that agrees with neither. With third counts on, the bin comes back as **THIRD COUNT**.
5. **Reports → Pallet report**: the **Difference $** column shows each miss in money; **Adjustments → Positive and negative** shows the dollars under the units.

If any of that is not what you see, nothing has gone to the real count yet — fix the settings and go again.

9 — Count day: what to watch

- **Dashboard → Second counts** — the open number. If it climbs faster than it falls, the thresholds are too low or the second-count team is short: raise the money threshold first, it bites on the cheapest stock.
- **Progress → Difference so far** — the count's running variance in money, over and under. A number that jumps after one aisle is a team, not the stock.
- **Pallet report → Difference $**, sorted — the biggest misses, with or without a second count against them. **Recount** on a row sends somebody without changing the thresholds.
- Do not loosen the thresholds mid-count to make the list shorter; the lines already in are not re-judged, so you get a list that was built two ways. Raise the **Cap** instead, or add a team.

10 — Checklist

- ☐ Inventory report uploaded with **Cost** and **Amount**; Pallet report shows a Cost column
- ☐ **Raise them automatically** on
- ☐ **Over N units / or over N % / or worth over $N** set and saved, Cap decided
- ☐ **Third count when the second settles nothing** on, with its money floor decided
- ☐ The second-count team made on Teams & crew, with the reach for every level, and named under **Send them all to team** if one team does them
- ☐ Approvals on or off, with their thresholds
- ☐ Dry run in the Testing Suite: a small miss left alone, a big one raised, a third count raised
- ☐ Inventory control knows where the list is and what **Raise from all variances now** does